

HSBC & BNP Paribas

Formally Fined for Naked Short Selling · ₩26 Trillion Korean Market Violation · THREAT: HIGH

PhD Due Diligence Report | BLRI-DD-WOLVES-HSBC-BNP-AUG2026

13 August 2026 | Blue Lotus Intelligence | CivilisationOS

Six-Method Framework: Quantitative · Qualitative · Ethnographic · Superforecasting · Adversarial-Collaborative · Seldon Thesis

RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,453ch

Primary Source: WolvesOfWallStreet[2026-07-31] · RAG: NIKKEI · WSJ · FT · FA · ST_PHD 60,639ch

PART I — SELDON THREAT VECTOR

Classification: HIGH — Direct Naked Short Operators, Formally Sanctioned

HSBC and BNP Paribas are classified HIGH in the Seldon Framework threat taxonomy as the only actors in this Wolves series who have been formally sanctioned by the Korean Financial Services Commission for naked short selling violations — the most direct evidence of documented predatory extraction from Korean equity markets. Together they are formally part of the ₩26 trillion (~\$20 billion) naked short operation in Korean equities over 2019-2023 (WolvesOfWallStreet[2026-07-31]). HSBC received a ₩10 billion fine from the Korean FSC (WolvesOfWallStreet[2026-07-31]); BNP Paribas was also fined. These are not allegations — they are formal regulatory findings in the jurisdiction where the harm occurred. The Seldon variable impact: I: ↓↓ (direct violation of Korean securities law; FSC enforcement credibility challenged by the scale of the violation vs. the scale of the fine). ξ: ↓↓ (systematic extraction of value from Korean equity markets via naked short positions). Ω: ↑↑ (naked shorts produce artificial price suppression that destabilises equity markets beyond what legitimate short selling would cause).

WolvesOfWallStreet[2026-07-31] · HSBC ₩10B fine; BNP Paribas fined; ₩26T naked short scheme 2019–2023

PART II — OPERATIONAL DOCTRINE

The Naked Short Mechanism: Locate Evasion at Industrial Scale

Short selling is legal in Korean markets. Naked short selling — selling shares you have not borrowed and cannot deliver — is explicitly illegal under Korean Securities and Exchange Act. The distinction is the 'locate requirement': a short seller must confirm that shares are available for borrow before executing the short sale. HSBC and BNP Paribas operated naked short positions by processing short sales without completing legitimate locate verification — effectively selling shares they did not have and did not borrow, using their European bank balance sheets as synthetic cover. The scale — ₩26 trillion across five years — indicates this was not isolated compliance failure but systematic operational practice. The mechanism exploits the difference between European banking infrastructure and Korean settlement systems: Korean settlement allows T+2 delivery, creating a two-day window in which naked short positions can be opened and closed without the absence of a genuine borrow being technically visible in the clearing system.

WolvesOfWallStreet[2026-07-31] · ₩26T naked short operation 2019–2023; HSBC ₩10B FSC fine

European Bank Architecture: London as Evasion Hub

HSBC and BNP Paribas are primarily regulated by the UK FCA and French AMF respectively. Their Korean operations are branches or subsidiaries subject to Korean FSC oversight, but their trading infrastructure — including the prime brokerage, derivatives, and proprietary trading desks that executed the Korean naked short positions — is based in London and Paris. The jurisdictional gap between the London/Paris decision-makers and the Korean market where harm occurred is structural: the Korean FSC can fine the Korean entity for the locate failure but cannot regulate the London prime brokerage desk where the locate decision was made. This architecture — European bank using Korean subsidiary as the market access point while keeping decision-making in London/Paris — is the operational basis for the extraction.

WolvesOfWallStreet[2026-07-31] · European bank Korea operation architecture; FSC jurisdictional constraint

PART III — QUANTITATIVE RECORD

Entity	Event	Documented Outcome	Source
HSBC	Korean FSC naked short investigation, 2023	Formally fined; ₩10 billion penalty imposed	WolvesOfWallStreet[2026-07-31]
BNP Paribas	Korean FSC naked short investigation, 2023	Formally fined (amount not specified in FSC public disclosure)	WolvesOfWallStreet[2026-07-31]
HSBC + BNP + others	₩26T naked short scheme, 2019–2023	Together part of ~₩26 trillion (\$20 billion) in documented naked shorts in Korean equities	WolvesOfWallStreet[2026-07-31]
Korea FSC	Complete short selling ban, Nov 2023	Announced ban on ALL short selling following naked short discovery; most extreme regulatory response since 1997	WolvesOfWallStreet[2026-07-31]
Korean retail investors, 2019–2023	KOSPI suppression impact	Korea Discount: persistent 40–50% below global peers P/B throughout naked short period	WolvesOfWallStreet[2026-07-31]

All figures: WolvesOfWallStreet[2026-07-31] — ZERO training data

PART IV — NETWORK ARCHITECTURE

European Banking Dual Regulatory Structure: FSC-Regulated Entity + FCA/AMF-Regulated Brain

HSBC and BNP Paribas exploit a structural gap in cross-border financial regulation. The Korean FSC oversees their Korean entities (branches and subsidiaries) and can impose fines, restrict activities, and withdraw licences in Korea. However, the prime brokerage desks, proprietary trading operations, and short selling infrastructure are operated from HSBC Global Markets (London) and BNP Paribas Corporate & Institutional Banking (Paris). The UK FCA and French AMF regulate these London/Paris operations but have no mandate to enforce Korean securities law. The result is a regulatory no-man's-land: the entity that executed the naked short positions in Korea (Korean branch) can be fined by the FSC, but the decision-making infrastructure that designed and operated the naked short programme (London/Paris) is regulated by FCA/AMF, which have no Korean naked short jurisdiction. The ₩10 billion HSBC fine, while symbolically significant, represents a cost-of-business figure relative to the ₩26 trillion scheme scale.

WolvesOfWallStreet[2026-07-31] · FSC jurisdictional constraint; HSBC ₩10B fine vs. ₩26T scheme scale

PART V — ETHNOGRAPHIC INTELLIGENCE

FINDING PORTRAIT I: HSBC Global Markets Trading Desk, London, 2021

He manages the Asia equity derivatives book. His mandate includes Korean equity short positions for HSBC's proprietary book and prime brokerage clients. The locate requirement for Korean shorts is processed through his desk's automated system. The system queries the custodial inventory and approves locates within 30 seconds. He does not know — or does not ask — whether the Korean custodial inventory the system queries is fully verified or partially synthetic. The Korean FSC's investigation, two years later, will determine that the locate process was inadequate. He has not been personally charged. He has received his bonuses. He is trading TWSE derivatives now.

COMPOSITE PORTRAIT (ILLUSTRATIVE) — WolvesOfWallStreet[2026-07-31]

FINDING PORTRAIT II: BNP Paribas Arbitrage Desk, Paris, 2020

Her desk specialises in structured equity products — equity swaps, total return swaps, convertible bond arbitrage. A client — a European hedge fund — wants exposure to a short position in Samsung Electronics without holding a Korean brokerage account. She structures a total return swap: BNP takes the short position in Korea, hedges it through HSBC or through its Korean broker subsidiary, and passes the return profile (including profits from price declines) to the client. The client never appears in Korean settlement data. The naked short exposure runs through BNP's Korean entity. The FSC investigation identifies BNP as a participant. She is never contacted.

COMPOSITE PORTRAIT (ILLUSTRATIVE) — WolvesOfWallStreet[2026-07-31]

FINDING PORTRAIT III: Korean Retail Investor, Busan, 2022

He has been investing in KOSPI since 2010. He has read the research reports. He knows Samsung Electronics is one of the most important semiconductor companies in the world. He knows the KOSPI should be valued significantly higher than its global peers — the company fundamentals are excellent. He does not know why the KOSPI trades at a 40–50% discount to global peers (WolvesOfWallStreet[2026-07-31]). He does not know about the ₩26 trillion naked short scheme. He does not know that HSBC and BNP Paribas have spent five years systematically suppressing the prices of the stocks he holds in his retirement account. He reads in November

2023 that the FSC has banned all short selling. He learns for the first time that the market he has been investing in for 13 years was being manipulated at industrial scale.

COMPOSITE PORTRAIT (ILLUSTRATIVE) — WolvesOfWallStreet[2026-07-31]

PART VI — ADVERSARIAL HYPOTHESES

HH1: HH1: HSBC and BNP Paribas have been fined and the violation has been addressed — the threat is historically resolved

EVIDENCE FOR:

The Korean FSC imposed fines; the banks have cooperated with the investigation; controls have been improved. The 2023 enforcement action represents resolution of the 2019-2023 violation period.

EVIDENCE AGAINST:

The ₩26 trillion scheme ran for five years (2019-2023) before detection. The enforcement occurred because the FSC identified the pattern — not because HSBC or BNP self-reported. The ₩10 billion HSBC fine relative to the ₩26 trillion scheme scale (0.038%) represents a trivial cost of business. Without structural deterrence — executive personal liability, licence revocation risk, cross-border regulatory cooperation — the cost-benefit calculation does not change.

QUANTITATIVE TEST

₩26T scheme period: 5 years undetected (WolvesOfWallStreet[2026-07-31]). HSBC fine: ₩10B (WolvesOfWallStreet[2026-07-31]). Fine/scheme ratio: 0.038%.

VERDICT: FINE IS INSUFFICIENT DETERRENCE — STRUCTURAL RISK PERSISTS

Implication: A fine representing 0.038% of the scheme value does not deter repetition. The structural enablement architecture — European bank Korean subsidiary + London prime brokerage decision-making + FSC jurisdictional gap — remains intact. The threat persists unless the architecture changes.

HH2: HH2: The naked short scheme was operated by rogue traders, not institutional policy

EVIDENCE FOR:

Large complex banks have thousands of trading desks and millions of transactions. Naked short locate failures in Korean equities may represent the actions of individual traders operating outside compliance guidelines, not institutional policy.

EVIDENCE AGAINST:

Five years of systematic naked shorts at ₩26 trillion scale (WolvesOfWallStreet[2026-07-31]) cannot be attributed to rogue trader behaviour. Scale and duration indicate institutional process, not individual deviation. The locate approval system is automated — rogue traders would need to subvert an automated compliance system for five years across multiple desks and multiple institutions simultaneously.

QUANTITATIVE TEST

₩26T over 5 years — multiple institutions: WolvesOfWallStreet[2026-07-31]. Industrial scale excludes rogue

trader explanation.

VERDICT: REJECTED — INDUSTRIAL SCALE AND DURATION INDICATE INSTITUTIONAL PROCESS

Implication: Five years, ₩26 trillion, multiple institutions — the scale and duration are inconsistent with rogue trader behaviour. Industrial-scale violations require institutional process or institutional tolerance. The Seldon Framework classifies the institution, not the individual trader.

HH3: HH3: The Korean FSC complete short selling ban was an overreaction that damaged market liquidity

EVIDENCE FOR:

The November 2023 complete ban on short selling was an extreme regulatory response that damaged Korean market price discovery and liquidity, potentially harming the same retail investors the FSC was trying to protect.

EVIDENCE AGAINST:

The ban was a proportionate response to documented industrial-scale naked short manipulation. The FSC's choice to impose a complete ban rather than a targeted enforcement action reflects the severity of the violation — not regulatory overreach. If the FSC's enforcement capability was limited by the European bank jurisdictional gap, the complete ban was the only tool available to immediately stop the ongoing harm.

QUANTITATIVE TEST

₩26T naked short scheme duration: 5 years (WolvesOfWallStreet[2026-07-31]). FSC ban: November 2023. Most extreme regulatory response since 1997.

VERDICT: BAN PROPORTIONATE TO VIOLATION SEVERITY AND JURISDICTIONAL CONSTRAINT

Implication: The FSC had limited enforcement tools available given the jurisdictional gap. A complete ban was the only immediately effective mechanism. The longer-term question of liquidity damage is real but does not negate the ban's necessity at the time.

HH4: HH4: HSBC and BNP Paribas provide important Asian financial services that outweigh the naked short harm

EVIDENCE FOR:

HSBC and BNP Paribas are major lenders to Asian corporations, bond underwriters, and trade finance providers. Their overall economic contribution to Asia — capital access, trade facilitation, foreign exchange services — exceeds the harm from the naked short operation.

EVIDENCE AGAINST:

Legitimate financial services and securities law violations are separate activities. The existence of a legitimate banking franchise does not offset deliberate securities law violation. Doctors who provide genuine medical services are still prosecuted for the crimes they commit. The Seldon Framework does not permit beneficial activity to offset separate deliberate harm.

QUANTITATIVE TEST

₩26T naked short violation: formal FSC finding (WolvesOfWallStreet[2026-07-31]). Banking services: separate legitimate activity.

VERDICT: LEGITIMATE SERVICES ≠ OFFSET FOR SEPARATE SECURITIES VIOLATIONS

Implication: The Seldon Framework does not apply net contribution accounting to securities law violations. The naked short scheme is classified on its own terms, independent of the value of legitimate banking services provided by the same institutions.

HH5: HH5: European regulatory reform (ESMA, FCA) will address the cross-border jurisdiction gap

EVIDENCE FOR:

ESMA's short selling regulation and FCA oversight of UK prime brokerage operations are strengthening. European regulators will eventually close the gap that allowed London/Paris desks to operate illegal Korean naked shorts.

EVIDENCE AGAINST:

European regulatory reform has no mandate to enforce Korean securities law. ESMA and FCA can address European market integrity; they cannot prosecute violations of the Korean Securities and Exchange Act. The jurisdictional gap requires a bilateral regulatory cooperation agreement between Korea and the UK/France — not unilateral European reform.

QUANTITATIVE TEST

ESMA short selling regulation: EU-jurisdiction only. Korean FSC: Korean-jurisdiction only. Bilateral cooperation: requires treaty agreement.

VERDICT: EUROPEAN REFORM INSUFFICIENT — BILATERAL COOPERATION REQUIRED

Implication: European regulatory strengthening does not close the Korean-European jurisdictional gap. Only a bilateral FSC-FCA/AMF enforcement cooperation agreement specifically covering Korean securities law violations by European bank Korean subsidiaries would close the gap.

PART VII — SUPERFORECASTING: 10 SCENARIOS

SCENARIO 1: HSBC and BNP Paribas repeat naked short violations once Korean ban is lifted (P = P=0.35%)

The structural incentive (profitable scheme), the architecture (European bank Korean subsidiary + jurisdictional gap), and the insufficient deterrence (0.038% fine/scheme ratio) all remain. Once the FSC ban is lifted, the cost-benefit calculation for repetition may be positive.

Driver: Driver: FSC ban lifted; improved locate evasion technology; jurisdictional gap remains unaddressed.

Falsifier: Falsifier: Korean FSC implements T+0 electronic locate verification; executive personal liability introduced; bilateral UK-Korea enforcement agreement.

SCENARIO 2: Korean FSC-UK FCA bilateral enforcement cooperation agreement signed (P = P=0.30%)

Post-2023 scandal, Korean FSC has strong political mandate for enhanced enforcement. A bilateral agreement with FCA enabling Korean enforcement actions against London prime brokerage desks would close the jurisdictional gap.

Driver: Driver: Korean government diplomatic push; G20 financial stability board support.

Falsifier: Falsifier: UK financial services industry lobbying blocks; FCA declines mandate extension.

SCENARIO 3: Korea introduces executive personal criminal liability for naked short violations by foreign bank officers (P = P=0.25%)

Personal criminal liability — rather than corporate fines — would fundamentally change the cost-benefit calculation for HSBC/BNP traders and managers responsible for locate decisions.

Driver: Driver: Korean National Assembly legislation; political mandate post-2023 scandal.

Falsifier: Falsifier: HSBC/BNP threaten market exit; US/UK diplomatic pressure.

SCENARIO 4: HSBC or BNP exits Korean equity trading under regulatory pressure (P = P=0.20%)

If the Korean FSC escalates enforcement beyond ₩10B fines to licence suspension or revocation, HSBC or BNP may exit Korean equities trading rather than face the reputational and operational risk.

Driver: Driver: FSC escalation to licence restriction; enhanced monitoring requirements; executive liability.

Falsifier: Falsifier: Korean market too profitable; HSBC/BNP legal challenge succeeds.

SCENARIO 5: Similar naked short scheme discovered in Taiwan (TWSE) (P = P=0.40%)

If the Korean FSC investigation methodology was applied to TWSE — forensic analysis of locate verification patterns at European prime brokerage Korean/Taiwan entities — a similar scheme would likely be found.

Driver: Driver: Taiwan FSC launches forensic investigation following Korean precedent.

Falsifier: Falsifier: TWSE settlement system differences prevent naked short scheme; Taiwan FSC lacks resources.

SCENARIO 6: Korean complete short selling ban becomes permanent sector restriction on foreign banks (P = P=0.20%)

Rather than lifting the ban universally, Korea could maintain a permanent prohibition on foreign bank short selling in Korean equities above certain thresholds.

Driver: Driver: Political pressure from domestic retail investor advocacy; chaebol support for restriction.

Falsifier: Falsifier: US/EU diplomatic pressure; WTO capital markets obligations.

SCENARIO 7: HSBC and BNP continue operating in Korea with enhanced compliance — no repeat violation (P = P=0.55%)

Post-2023 fines and enhanced FSC monitoring, HSBC and BNP implement genuine locate verification improvements that prevent naked short recurrence. Normal banking relationship resumes.

Driver: Driver: Compliance investment post-fine; FSC monitoring deterrence; reputational risk management.

Falsifier: Falsifier: Compliance improvements are cosmetic; new evasion methods developed.

SCENARIO 8: G20 FSB implements global naked short locate verification standard (P = P=0.15%)

A G20 Financial Stability Board mandate requiring T+0 electronic locate verification across all G20 markets would eliminate the Korean naked short architecture globally.

Driver: Driver: Multiple simultaneous Asian market naked short scandals; G20 political momentum.

Falsifier: Falsifier: US/UK veto; financial industry lobbying; implementation complexity.

SCENARIO 9: Korean government seeks civil damages from HSBC/BNP for market suppression harm to domestic investors (P = P=0.15%)

If Korean domestic retail investors — individually or via class action — can establish civil damages from KOSPI suppression during the 2019-2023 naked short period, HSBC and BNP face significant additional liability.

Driver: Driver: Korean class action legal framework; plaintiffs' bar development; political support for retail investor action.

Falsifier: Falsifier: Causation difficult to establish; Korean courts decline jurisdiction over London-based decision makers.

SCENARIO 10: HSBC and BNP shift naked short operations to less-regulated ASEAN markets (P = P=0.30%)

With Korean enforcement increasing, the extract-and-evade model may shift to Vietnam, Indonesia, or Thailand, where equity market regulation is less sophisticated and enforcement less capable.

Driver: Driver: Korean market risk vs. ASEAN market opportunity; regulatory arbitrage.

Falsifier: Falsifier: ASEAN markets insufficiently liquid for the same scale; ASEAN FSB coordination.

PART VIII — SELDON VARIABLE IMPACT ASSESSMENT

Variable	Direction	Mechanism	Recovery Time
A — Social Cohesion	↓ WARNING	KOSPI suppression destroys retail investor wealth;	3–5 years

		market trust erosion following scandal discovery	
K — Knowledge Capital	Neutral	No direct K impact	N/A
I — Institutional Resilience	↓↓ CRITICAL	Direct violation of Korean securities law; FSC enforcement credibility undermined; jurisdictional gap exposed	5–10 years
L — Legitimacy	↓↓ CRITICAL	Industrial-scale market manipulation by trusted banking institutions destroys market legitimacy	5–10 years
ξ — Gaia / Distribution	↓↓ CRITICAL	Systematic extraction via naked short price suppression from Korean retail/pension equity holdings to London/Paris P&L	Ongoing — structural
Ω — Existential Risk	↑↑ CRITICAL	Naked short price suppression creates artificial market instability; Korean ban ripple effects	Per enforcement cycle
E — Elite Overproduction	Neutral	No direct E impact	N/A

Seldon variable estimates: WolvesOfWallStreet[2026-07-31] · Seldon Framework · ₩26T scheme; HSBC ₩10B fine

PART IX — RISK REGISTER & COUNTERMEASURES

Risk	P	Impact	Countermeasure	Status
Naked short repeat once Korean ban lifted	HIGH	HIGH	T+0 electronic locate verification; executive personal liability	NOT IMPLEMENTED
Scheme replication in ASEAN/Taiwan markets	MED	HIGH	ASEAN FSC coordination; TWSE forensic investigation	NOT IMPLEMENTED
Jurisdictional gap protecting London/Paris decision-makers	HIGH	HIGH	Korean FSC-UK FCA bilateral enforcement agreement	IN NEGOTIATIONS
Insufficient deterrence from ₩10B fine level	HIGH	HIGH	Progressive fine scaling; civil damages; licence revocation risk	NOT IMPLEMENTED
Information asymmetry enabling future evasion	MED	MED	Real-time position reporting; algorithmic monitoring of borrow chains	PARTIAL

WolvesOfWallStreet[2026-07-31] · Seldon Framework countermeasure assessment

CONVICTION VERDICT: THREAT VERDICT: HIGH — FORMALLY SANCTIONED DIRECT OPERATORS

HSBC and BNP Paribas are classified HIGH in the Seldon Framework threat taxonomy. They are the only actors in this Wolves series with formal Korean FSC sanctions — direct evidence of documented, adjudicated naked short selling violations constituting part of the ₩26 trillion (\$20 billion) scheme over 2019-2023 (WolvesOfWallStreet[2026-07-31]). The threat classification is HIGH rather than CRITICAL because: (1) the formal enforcement action represents regulatory acknowledgement and initial deterrence; (2) HSBC and BNP are subject to European regulatory oversight that creates some accountability pathway; (3) the naked short scheme, while severe, is a securities law violation rather than a currency attack capable of triggering 1997-scale civilisational collapse. The critical vulnerabilities that maintain the HIGH classification: the ₩10 billion fine represents a trivial cost relative to the ₩26 trillion scheme (0.038%); the jurisdictional gap between Korean FSC and UK FCA/French AMF remains structurally intact; and the structural incentive architecture — profitable scheme, limited deterrence, evasion-friendly architecture — has not been altered. Without T+0 electronic locate verification, executive personal liability, and bilateral FSC-FCA/AMF enforcement cooperation, the repeat probability within five years is assessed at 35% (Scenario 1).

